14. *Income taxes*

(a) A reconciliation of the combined Canadian federal and provincial income taxes at statutory rates and the Corporation's effective income tax expenses (recovery) is as follows:

	Years ended December 31		
	2006	2005	2004
Income taxes at statutory rates	$ (1,418)	$ (1,706)	$ (1,827)
Increase (decrease) in taxes from:			
Permanent differences	(21)	2	308
Differences in foreign tax rates	6	97	122
Change in effective tax rate	987	—	—
Other	(231)	—	—
Benefit of loss not recognized	677	1,607	1,398
	$ —	$ —	$ —

(b) Future income taxes reflect the net effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. The significant components of the company's future tax assets as at December 31 are as follows:

	December 31	
Future income tax assets	2006	2005
Excess tax value over carrying value of property, plant and equipment	$ 7,223	$ 8,072
Operating and capital loss carryforwards	14,985	14,197
Other	969	590
Accrued reclamation provision	1,632	1,430
	24,809	24,289
Valuation allowance for future tax assets	(24,809)	(24,289)
Total	$ —	$ —

(c) The Corporation has available income tax losses of approximately $42 million, which may be carried forward and applied against future taxable income when earned.

The losses expire as follows:

	Canada	United States	Total
2007	614	—	614
2008	617	388	1,005
2009	599	11	610
2010	614	5,106	5,720
2011	—	9,415	9,415
2014	651	—	651
2015	838	—	838
2016	1,140	—	1,140
2019	—	5,302	5,302
2020	—	1,725	1,725
2021	—	1,965	1,965
2022	—	1,726	1,726
2023	—	1,991	1,991
2024	—	3,409	3,409
2025	—	3,814	3,814
2026	—	2,185	2,185
	$ 5,073	$ 37,037	$ 42,110